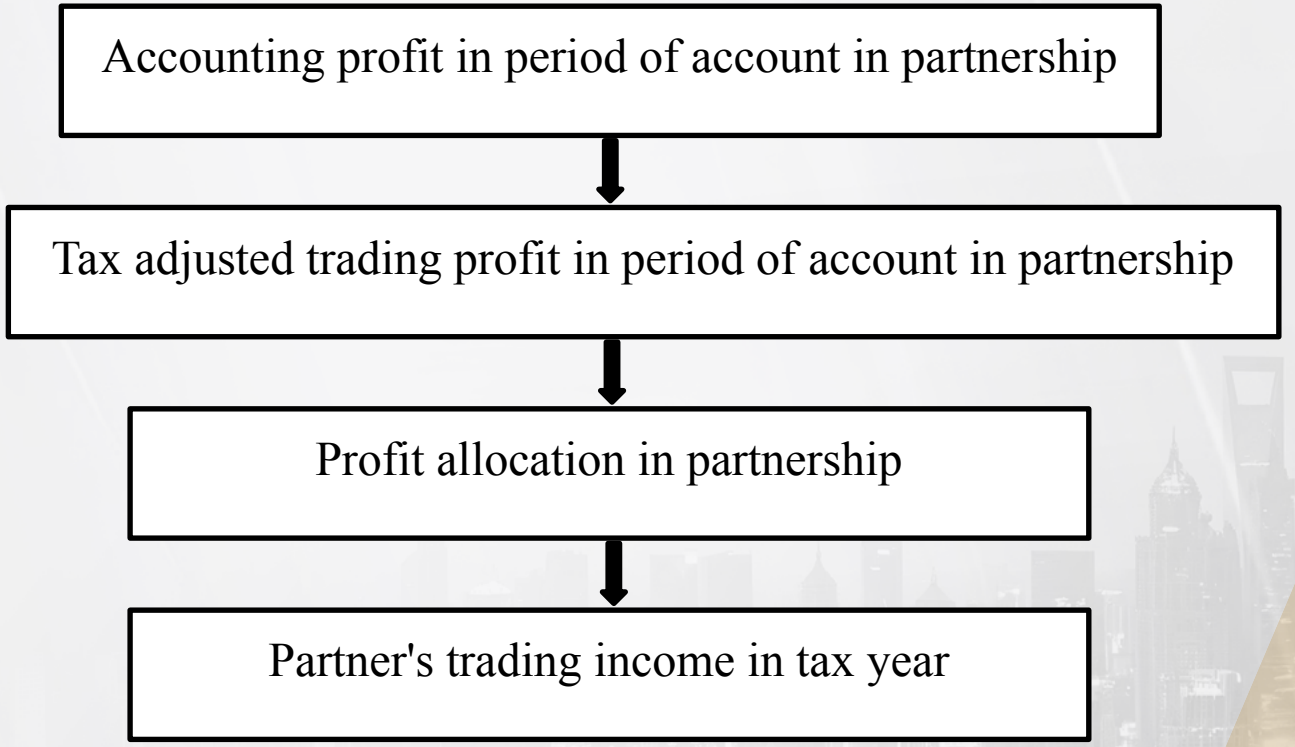
Partnerships

Content

3. Income from self-employment

g) Partnerships and limited liability partnerships

1. Allocation of trading profits



1. Allocation of trading profits

Every partner is similar to a sole trader.

Partnership's tax adjusted trading profit in period of account should be allocated to each partner in this order:

I . Partners' salaries and interest on capital are allocated.

II . Remaining profit will be allocated in the profit-sharing ratio.

Lecture illustration

Tom and Jerry have been in partnership since 6 April 2011 sharing profits and losses as follows:

	Tom	Jerry
Annual salary	£3,000	Nil
Balance – profit share ratio	2	1

During Y/e 5 April 2026 the partnership made a taxable trading profit of £60,000.

Lecture illustration -Solution

Y/e 5 April 2026	Tom £	Jerry £	Total £
Annual salary	3,000		3,000
Balance (2:1)	38,000	19,000	57,000
Trading profit	41,000	19,000	60,000

2. Change in the profit sharing ratio or membership

When the profit-sharing ratio is changed during the period of account:

Firstly, the profit or loss is time apportioned according to the time of change;

Secondly, allocate the profit or loss to each partner in each part.

Lecture example 1

Ron and Steve have been in partnership since 1 April 2005 sharing profits and losses as follows:

	Ron	Steve
Annual Salary	£5,000	Nil
Balance – profit share ratio	3	2

On 1 January 2026 the agreement was changed such that profits and losses are shared equally, with no further salary payments.

During Y/e 31 March 2026 the partnership made a taxable trading profit of £60,000.

Show how this is split between the partners.

Lecture example 2

M and G began a partnership on 1 April 2017, sharing profits and losses equally. On 1 October 2024 B joined them, the new arrangement being 2:2:1. Results have been as follows:

Y/e 2024.3.31	£33,000
Y/e 2025.3.31	£51,000
Y/e 2026.3.31	£72,000

Show the assessments on the partners for the tax years 2023-24 to 2025-26.

3. Partnership losses relief

Allocation of losses in partnership is the same as trading profits.

Trading loss reliefs of partners are same as sole traders.

Existing partners: continuous trading

New partner: start trading on date of joining

Leaving partner: cease trading on date of leaving

Lecture example 3

James and Keith have been in partnership since 1 April 2013, sharing profits and losses in the ratio 3:2, after allocating an annual salary of £6,000 to James.

In Y/e 31 March 2025, the partnership makes a loss of £30,000.

Show how this loss is allocated and how to claim loss relief.

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Quizzes(self-practice)

Quiz 1

Debbie, Dave and Don have been in partnership since 2017, preparing accounts to 31 March each year, and splitting profits equally. They have decided to change the profit sharing ratio with effect from 1 July 2025 to 40:40:20 as Don will be less involved in the business.

Profits for the year ended 31 March 2026 were £300,000.

What is the trading income assessment for Don for the tax year 2025-26?

A.£70,000

B.£115,000

C.£60,000

D.£45,000

Quiz 1-A

The correct answer is **A**.

	Total	Debbie	Dave	Don
Year ended 31 March 2026	£	£	£	£
1 April to 30 June 2025 £300,000 × 3/12				
Profit share 1/3:1/3:1/3	75,000	25,000	25,000	25,000
1 July 2025 to 31 March 2026 £300,000 x 9/12				
Profit share 40:40:20	225,000	90,000	90,000	45,000
Total	300,000	115,000	115,000	70,000

Quiz 2

Frankie, George and Susan have been in partnership since 2020, preparing accounts to 31 March each year, and splitting profits equally. Frankie decided to retire with effect from 1 January 2026. George and Susan will continue to split the profits equally.

Profits for the year ended 31 March 2026 were £150,000.

What is the trading income assessment for Frankie for the tax year 2025-26?

A.£25,000

B.£37,500

C.£56,250

D.£50,000

Quiz 2-A

The correct answer is **B**.

	Total	Frankie	George	Susan
	£	£	£	£
Year ended 31 March 2025				
1 April to 31 December 2024 £150,000 × 9/12				
Profit share 1/3:1/3:1/3	112,500	37,500	37,500	37,500
1 January to 31 March 2025 £150,000 × 3/12				
Profit share 50:50	37,500		18,750	18,750
Total	150,000	37,500	56,250	56,250

Quiz 2-A

Trading income assessment:

2025-26	£
Frankie – 9 months to 31 December 2025	37,500



谢谢观看

THANK FOR WATCHING